

# CarTrade Tech

*Everything is priced. I think there's more coming anyway.*

**ACCUMULATE** Price Rs 2,850 Fair value Rs 3,290 Implied +15.5%

A genuinely excellent business at 60x earnings after a 73% three-month run. My base case says +8%. My conviction says the base case is missing the part that matters.

Raghav · AUG 2026 · scenario-weighted · CARTRADE · thereservenote.com

## Investment summary

CarTrade Tech at roughly Rs 2,850 trades on about 60x FY26 earnings and 51x EV/EBITDA, having risen 73% in three months and 463% in three years. On any conventional screen that is expensive. My scenario-weighted fair value is Rs 3,290, an implied 15.5% upside, and my base case alone gets to only Rs 3,090. I am rating this ACCUMULATE rather than BUY because the number does not justify more, and I would rather be honest about that than dress conviction up as arithmetic. What follows is both: the model, and where I think the model is wrong.

## What the business actually is

Three segments under one roof. Consumer Group (CarWale, BikeWale) monetises new-vehicle discovery through dealer and OEM advertising. Remarketing (Shriram Automall) runs physical and digital vehicle auctions across 540-plus locations at an annualised 1.7 million listings. Classifieds is OLX India, acquired and now the fastest-growing piece. FY26 revenue was Rs 870 crore, up 22%, with PAT of Rs 244 crore, up 68%, and EBITDA of Rs 257 crore at a 33% margin.

## The operating leverage is real, and it is the whole story

Sixteen consecutive quarters of 45%-plus EBITDA growth is not a fluke, it is a structure. Three-year revenue CAGR is 29% while EBITDA CAGR is 98% and PAT CAGR 82% — profitability compounding roughly three times faster than the topline. The mechanism is that 95% of the 76 million average monthly unique visitors arrive organically. A marketplace that does not have to buy its traffic has a cost line that simply does not scale with revenue, and that is why margins went from 9% to 33% without a step-change in the business model.

## The balance sheet buys optionality nobody is valuing

Rs 1,321 crore of cash, zero debt, and roughly Rs 300 crore added during FY26. Against a Rs 14,500 crore market capitalisation that is nine percent of the company sitting in cash — but the point is not the yield, it is the permission. This is a business that can acquire, can subsidise a new monetisation line

through its loss-making infancy, and can survive a two-year advertising recession without touching equity. OLX itself was bought with this capacity, and it is now the fastest-growing segment.

## What my base case actually assumes

I model FY27 revenue of Rs 1,044 crore and FY29 of Rs 1,490 crore — roughly 20% compound growth, deliberately below the 22% just delivered and well below the three-year trend. Margins reach 35% and stop. That produces FY29 PAT of about Rs 465 crore. Exiting at 38 times, adding forecast cash of Rs 2,100 crore and discounting two years at 12%, I get Rs 3,090 a share. That is 8.4% above the current price, which is not a compelling reason to buy anything.

## Where I think the base case is wrong

Here is my actual view, stated as opinion rather than arithmetic. My model prices the three businesses that exist today. It prices none of what management is building: used-car financing through the IDFC partnership with more bank and NBFC tie-ups behind it, one-click loan journeys, escrow, logistics, verification, insurance, paid buyer programmes, and the VAYA AI layer across the whole estate. Every one of those is a transaction-linked revenue line attached to traffic the company already owns and already monetises only through advertising. A classifieds business that becomes a transaction business does not get a better multiple on the same earnings; it gets a different earnings base entirely. Management has stated a Rs 1,000 crore PAT ambition over four to five years — four times FY26 — and my base case does not get anywhere near it. I think they have a reasonable chance, and a DCF cannot express 'reasonable chance' without me inventing a number, so I have left it out of the base case and told you about it here instead.

## The scenarios, weighted

Bull, at 30%: management delivers the Rs 1,000 crore PAT by FY31, the market pays 35 times for it, and the shares are worth about Rs 4,800 discounted back — 68% above today. Base, at 50%: the model above, Rs 3,090. Bear, at 20%: the auto advertising cycle turns, growth decelerates to 12%, and a 60-times multiple compresses to 25 — that is Rs 1,540, a 46% loss. Weighting those gives Rs 3,290. Note what the spread tells you: the downside is nearly as large as the upside, and it arrives through multiple compression rather than business failure.

## The case against, properly made

I am bullish, so let me argue the other side without softening it. At 60 times earnings the multiple is the investment, not the business — a de-rating to a still-generous 35 times costs you 40% even if every operational forecast is met. Q1 FY27 showed the first wobble: profit fell 21% sequentially and revenue slipped 1%, and the market marked the stock down 7% on results that were, on a yearly view, excellent. There is no promoter holding, which means no anchor shareholder with long-term skin in the game and more volatility when sentiment turns. The monetisation initiatives I am relying on are, by management's own description, early. And the remarketing and consumer businesses are ultimately geared to the Indian auto cycle, which has been kind for three years and will not always be.

## What I would actually do

Accumulate, not chase. The business deserves ownership; the price deserves patience. I would build a position on weakness rather than at 60 times after a 73% quarter, and I would add aggressively below roughly Rs 2,300, where the base case alone offers a genuine margin of safety and the optionality becomes free. The thing I am underwriting is not this year's earnings — it is a management team with a fortress balance sheet, organic traffic it does not pay for, and a credible path from advertising revenue to transaction revenue. That is worth waiting for a better entry to own.

---

*This is my personal analysis, published for discussion and learning. It is not investment advice, not a recommendation to buy or sell any security, and not a solicitation. Financial data is sourced from CarTrade Tech's reported FY26 and Q1 FY27 results and publicly available market data as at August 2026; prices will have moved. Valuation outputs are the product of my own assumptions, which are stated so that you can reject them. I may hold positions in securities discussed. Do your own work.*